positive. Therefore, new firms enter the market. In the long run new firms entry will continue until the price drops to ₹11 and the quantity is 1,200 units. The new long run equilibrium is shown by point 'c', where the new demand curve intersects supply curve, at this price level (₹11) and quantity (1,200 units). Due to diminishing returns, it is very difficult to increase output in the short tun, as a result the price will increase to cover these higher cost of production. New firms will enter into the market. The price gradually drops to the point (₹11) at which each firm makes zero economic profit.

A firm under perfect competition even in the long run is a price – taker, not a price – maker. It takes the price of the product from the industry. And it superimposes its cost curves on the revenue curves.

Long run equilibrium of the firm is illustrated in the diagram. Under perfect competition, long run equilibrium is only at minimum point of LAC. At point E, LMC = MR = AR = LAC.

In the above diagram (5.4), average cost is equal to average revenue. The equilibrium of the firm finally rests at point E where price is 8 and output is 500. (Numbers are hypothetical) At this point, the profit of the firm is only normal. Thus condition for long run equilibrium of the firm is:

Price = AR=MR = Minimum AC

At the equilibrium point, the SAC > LAC. Hence, long run equilibrium price is lower than short run equilibrium price; long run equilibrium quantity is larger than short run equilibrium quantity.

5.6 Imperfect Competition



Mrs. Joan Robinson
1903-1983



Edward Chamberlin
1899 -1967

The concept of imperfect competition was propounded in 1933 in England by Mrs.Joan Robinson and in America by E.H. Chamberlin.

It is an important market category where the individual firms exercise their control over the price.

Definition: Imperfect competition is a competitive market situation where there are many sellers, but they are selling heterogeneous (dissimilar) goods as opposed to the perfect competitive market scenario. As the name suggests, competitive markets are imperfect in nature.

Description: Imperfect competition is the real world competition. Today some of the industries and sellers follow it to earn surplus profits. In this market scenario,

Chapter-05.indd 106 1/2/2023 11:46:34 AM